

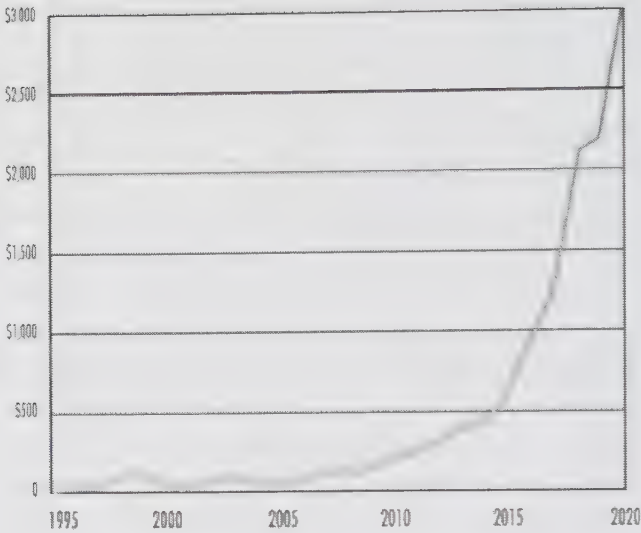


Figure 8.1. Amazon share price, 1997–2020

Source: “Amazon 23 Year Stock Price History,” Macrotrends, accessed August 11, 2020, <https://www.macrotrends.net/stocks/charts/AMZN/amazon/stock-price-history>.

Now, let’s look at the other end of the spectrum. You are still the same book-loving person, but now you’re twenty-three years old and it’s the year 2000. You believe that energy is a good investment—things like natural gas and oil—and you decide to invest in a company called Enron. The company’s stock is going up and up, and you want to get in on this incredible profit. You somehow have \$9,000 lying around and decide to buy 100 shares (shares of Enron at this time were \$90 a share). Unlike your Amazon investment, Enron does not go well. It turns out the company has not exactly been honest with its numbers; the company collapses, and the stock plummets, as can be seen in Figure 8.2. By December 2001, the company declares bankruptcy, and your stocks are worth \$0 a share. You have lost all of your \$9,000. Bummer.